Revision Date:
09/01/2022

Background:
A claim is an amount owed because of benefits that were overissued to the household (HH) or benefits that were trafficked. Claims are categorized as Inadvertent Household Error (IHE), Administrative Error (AE), or Intentional Program Violation (IPV) claims. IHEs and AEs are considered non-fraud and IPVs are considered fraud related claims.

Purpose:
This section details the types of overissuance (OI) claims and provides guidance on how to establish and calculate them. Effective July 1st, 2022, there is a 24-month timeframe to establish and calculate a non-fraud claim. This change will be applied prospectively. This section is being revised to incorporate this change.

Policy:
To complete the collection process, claims must be established when an OI is calculated. A claim shall not be established in the following circumstances:

- The customer did not sign the application form.
- The HH resides in another county and the case was certified in San Diego County by mistake.
- The 24-month time frame to act on a non-fraud OI has passed.
- The customer reported a mandatory change timely, and the correct benefits could not be issued due to the 10-day notice requirement.
- When the OI is based on excess property for a Categorically Eligible (CE) HH.

The table below describes the types of claims:

Claim	Description
IHE	Established when an OI results from a misunderstanding or unintended error caused by the customer.
AE	Established when an OI results from an action or failure to act by the agency.

Note: IHE's could potentially result in an IPV, refer to section 63-453 for further guidance.

Effective July 1, 2022, a non-fraud claim must only be established when it occurs within 24-months from the date of discovery. Any OI that occurred outside of the 24-month period will not be acted on. The date of discovery is the date the OI is calculated, and the claim is established when a demand letter, budget and repayment agreement are issued to the HH. This information must be entered in the case record. Below is an example of the 24-month claim establishment time frame:

Example	
Scenario	On July 1, 2022, a potential IHE OI is identified from January 1, 2019, through March 31, 2021.
Outcome	Staff may only calculate an OI and establish a claim for the period of July 2020 through March 2021. An OI calculation and claim establishment must not be completed for the months of January 2019 through June 2020 because they are

	outside the 24-month timeframe.

Note: For a non-fraud claim that was already established, but is later determined to be fraudulent, the timeframe may include OI months beyond the 24-month timeframe.

1. Threshold Amounts for Establishing Claims:
The table below illustrates the threshold amount for when a claim must be established:

Status of case and claim type	Threshold amount	Action
Active AE	$35 or less	Do not establish a claim
Closed AE	$400 or less	Do not establish a claim
Active IHE	$1 or more	Establish a claim
Closed IHE	$400 or less	Do not establish a claim

The threshold amount will be applied based on the case status. Staff must reassess the claim if the status of the case has changed since the date of discovery. The following table will assist in making this determination:

If the case status is …	then the case is considered …
closed on the date of discovery, and is later rescinded with no break in aid,	active, apply the threshold limits specified above.
closed on the date of discovery and the HH submits a new application (with a break of aid) at a later date,	closed, apply the threshold limits specified above.

2. Claim Responsibility:
When establishing a claim, a responsible individual must be assigned for the collection to begin. Responsible individuals include:

- All adult members of the HH when the OI occurred. This includes excluded HH members.
- A person connected to the HH such as an Authorized Representative (AR).
- Sponsor of a noncitizen and sponsored noncitizen will both be liable, if the claim is a result from incorrect information provided by the sponsor. A sponsor will not be held at fault for an AE claim.

3. Lomeli v. Saenz Court Settlement:
The Lomeli v. Saenz court settlement established that all AE OI are to be recouped at a rate of five percent (5%) or $10 whichever is greater. The allotment reduction will be set up for a period of 36-month consecutive calendar months starting with the month the actual collection begins. After the 36-month period, the collection will be suspended, and the remaining balance will be compromised ("Compromised" means that the claim is reduced or forgiven). Claims can still be collected after the case is discontinued; the months would continue to count towards the 36-month limit. When the 36-month period of recoupment expires, the system will automatically compromise the claim, reducing the remaining balance to zero ($0.00).

Program Impacts:
Automation: How to #532 Process Overissuance/Overpayments.

References:
ACL 21-109, 19-50,15-95, 13-79, 13-79E.
ACIN I-33-14, I-33-14E.
MPP 63-801.1

Sunset Date:
This policy will be reviewed for continuance by 09/30/2025.

Approval for Release:

RA Wanne, 9-6-22

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Self-Sufficiency Services